

American Express Q2 2025

Human Arm Reading Sheet, Financial results only

David Eji, rater offset A

August 10, 2026

The rules, agreed before any of this was scored

- **What counts as a HOLD.** If the share price moves less than 2% overnight, that counts as no real move. Further out the band widens, because over several days a stock drifts anyway, and we set it so roughly the same share of events still count as HOLD.
- **Write a score, not a decision.** You give a number. The sheet turns it into BUY, HOLD or SELL for you: anything between -0.20 and $+0.20$ is a HOLD, above that a BUY, below it a SELL. Do not work it out yourself, or the rule stops being fixed in advance.
- **Do not look at the price until your score is sealed.** If you see one by accident, say so in the peeked box. Owning up costs us one event. Hiding it costs us the whole result.
- **Time yourself.** How long a read takes is half of what we are measuring, since the point is to compare it against what the model costs.
- **If you used AI at any point, write it down.**
- **When this one came out.** American Express reports before the market opens, so we measure from the previous day's closing price to that morning's opening price.
- **Once you seal the first read, leave it alone.** Do not go back and tidy it up after the second read. That is the one thing there is no fixing later.

What you are reading

Reference	AXP-20250718
Company	American Express Company
Ticker	AXP
Quarter	Q2 2025
Reported on	18 July 2025
Which part you get	financials
Where to find it	American Express Q2 2025 earnings release, SEC 8-K
How to read it	Cold. No charts, no news, no previews, no price screen.

Your hunch, written once per company before you start

One line, written before you open anything: what do you think actually moves this stock? Writing it down first turns a hunch into something you can be proved wrong about, rather than an explanation you reach for afterwards.

Billed business and the credit provision matter more than headline EPS, which is usually distorted by one-offs.

FIRST READ, Financial results only

What to read. Read only the numbers they actually reported this quarter: revenue, profit, margins, how each part of the business did. Skip anything about the future, and skip the Q&A.

Timer

Start timing before you open anything. Stop when the score is written down.

minutes taken	22
saw a price first?	no
used AI?	no

Your score

Score: +0.25

Call: BUY *(worked out by the formula)*

Why. Record revenue up 9% and billed business up 7%. Reported EPS down 2% is an artefact of the prior-year Accertify gain, and up 17% underneath.

FIRST READ SEALED, do not come back to it

SECOND READ, the whole document

What to read. Now open the whole thing and read all of it, including the parts held back from the first read. Start the timer again.

minutes taken	29
---------------	----

Your score, second time

Score: +0.22

Call: BUY *(worked out by the formula)*

Why. Held BUY, marginally lower. Provisions are creeping and the guidance does not lift the full year despite the beat.

SECOND READ SEALED

What the market did, only once everything above is sealed

These come from the shared price data rather than from you. Do check the overnight number against a chart once for this company though. A company reporting before the open is measured from the previous day's close; one reporting after the close is measured from that day's close. Getting it the wrong way round flips the answer.

	Raw	Excess	Band	P1 holds	P2 holds
anchor date					17 July 2025
baseline close (\$)					\$315.35
reaction open (\$)					\$311.86
Overnight	-1.11%	-1.31%	2.00%	no	no
D+3	-3.55%	-3.69%	3.94%	no	no
D+5	-2.25%	-3.27%	5.20%	no	no
D+10	-5.09%	-5.73%	5.20%	no	no

The band widens further out because a stock drifts over several days whatever the earnings said. Each one is set so roughly the same share of events still count as HOLD. These are fitted on twenty events, so treat them as rough and redo them once everyone's readings are pooled.

How the calls did

- Did it move more than 2% overnight? It moved -1.11%, so no, that is inside the band
- So the right call was: **HOLD**
- First read: **WRONG** Second read: **WRONG**
- Did the second read change the call? No. The extra reading nudged the score but the call stayed the same.

The second read is not independent of the first, since a call had already been committed to and people rarely talk themselves out of one. Read any flip as a floor on how much the extra material actually mattered, not a measure of it.